



Corporate Tax Department
1455 Market St., Ste. 600, MSC 410

VIA MAIL

RE: Afterpay Limited – Notice of Section 338(g) Election

To whom it may concern:

In accordance with U.S. Treasury Regulation Section 1.338-2(e)(4), U.S. persons who are former holders of Afterpay Limited shares ("Afterpay") are hereby notified that Lanai (US) 2, LLC ("Lanai (US) 2") made an election under Section 338 of the Internal Revenue Code of 1986, as amended (the "Code"), with respect to its acquisition of Afterpay on January 31, 2022. A copy of the notice required by U.S. Treasury Regulation Section 1.338-2(e)(4), the Internal Revenue Service ("IRS") Form 8023 filed by Lanai (US) 2, and the instructions to the IRS Form 8023 are included herewith.

Please contact the undersigned at pseabrease@squareup.com if you have any questions.

Sincerely,

A handwritten signature in blue ink that reads "Philip M. Seabrease".

Philip M. Seabrease
Head of Tax
Square, Inc.

**Notice to the Former Stockholders of Afterpay Limited That Are U.S. Persons for U.S.
Income Tax Purposes**

On January 31, 2022, Lanai (US) 2, LLC, a U.S. resident corporation and taxpayer indirectly wholly owned by Block, Inc., acquired 100% of the shares of Afterpay Limited through its indirectly owned subsidiary, Lanai (AU) 2 Pty Ltd. Lanai (AU) 2 Pty Ltd is disregarded as an entity separate from its owner, Lanai (US) 2, LLC, for U.S. federal income tax purposes.

In accordance with the acquisition of Afterpay Limited, Lanai (US) 2, LLC will, immediately following the posting of this notice, make an election under Section 338(g) of the Internal Revenue Code of the United States of America. This election has applicability for U.S. income tax purposes for Block, Inc., as an indirect shareholder of Afterpay Limited. The Section 338(g) election may also have consequences for a U.S. person that was a shareholder of Afterpay Limited. on January 31, 2022, when Lanai (US) 2, LLC made the qualified stock purchase of Afterpay Limited.

This document serves as notice under Treasury Regulation Section 1.338-2(e)(4) of Block, Inc.'s intention to make an election under Section 338(g) of the Internal Revenue Code of 1986, with respect to the qualified stock purchase on January 31, 2022, of Afterpay Limited, the stock of which you either held or sold under the circumstances described in Treasury Regulations section 1.338-2(e)(4).

For possible U.S. federal income tax consequences under Sections 551, 951, 1248, or 1293 of the Internal Revenue Code of 1986 that may apply to the shareholders of Afterpay Limited who are U.S. persons, please see Treasury Regulation Section 1.338-9(b) and please consult your tax advisor. You may be required to attach the information included in this packet of documents (i.e., a copy of IRS Form 8023 (Elections Under Section 338 for Corporations Making Qualified Stock Purchases)) with attachments thereto) to certain returns you file.

**Elections Under Section 338 for
Corporations Making Qualified Stock Purchases**

► See separate instructions.

► Information about Form 8023 and its separate instructions is at www.irs.gov/form8023.

OMB No. 1545-0123

Section A-1—Purchasing Corporation

1a Name and address of purchasing corporation Lanai (US) 2, LLC 1455 Market St., Suite 600, MSC 410 San Francisco, California 94103	1b Employer identification number 87-2875280	
	1c Tax year ending December 31	1d State or country of incorporation Delaware

Section A-2—Common Parent of the Purchasing Corporation

2a Name and address of common parent of purchasing corporation Block, Inc. 1455 Market St., Suite 600, MSC 410 San Francisco, California 94103	2b Employer identification number 80-0429876	
	2c Tax year ending December 31	2d State or country of incorporation Delaware

Section B—Target Corporation

3a Name and address of target corporation Afterpay Limited Queen & Collins Tower Level 8 376 - 390 Collins Street Melbourne, Vic 3000	3b Employer identification number N/A	
	3c Tax year ending June 30	3d State or country of incorporation Australia

**Section C—Common Parent of Selling Consolidated Group, Selling Affiliate,
S Corporation Shareholder, or U.S. Shareholder**

Complete only for a section 338(h)(10) election or if target was a member of a consolidated group or a controlled foreign corporation (CFC) or had been a CFC within the preceding five years.

4a Name and address of common parent of the selling consolidated group, selling affiliate, U.S. shareholder(s) of foreign target corporation, or S corporation shareholder(s)	4b Identifying number(s)	
	4c Tax year ending	

Section D—General Information

5a Acquisition date January 31, 2022	5b What percentage of target corporation stock was purchased: (i) During the 12-month acquisition period? 100 % (ii) On the acquisition date? 100 %
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For Paperwork Reduction Act Notice, see separate instructions.

Cat. No. 49972Z

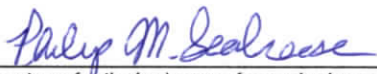
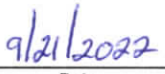
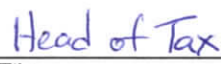
Form **8023** (Rev. 11-2016)

Section E—Elections Under Section 338

- 6** Check here to make a section 338(h)(10) election for the target corporation listed in Section B on page 1 ☐
- 7** Check here to make a section 338 election (other than a section 338(h)(10) election) for the target corporation listed in Section B on page 1 ☒
- 8** If the box on line 7 is checked for the target corporation listed in Section B on page 1, check here to make a gain recognition election for that corporation. See instructions ☐
- 9** Check here if this form is filed to make a section 338 election for any target corporation in addition to the one listed in Section B on page 1 ☒

Purchasing Corporation(s) Signature(s)

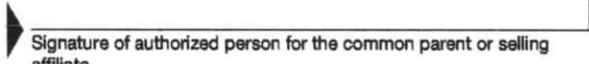
Under penalties of perjury, I state and declare that I am authorized to make the election(s) on lines 6, 7, 8, and 9 on behalf of the purchasing corporation(s).

Signature of authorized person for purchasing corporation(s) Date Title

Consolidated Selling Group or Selling Affiliate Signature (Section 338(h)(10) Election)

Under penalties of perjury, I state and declare that I am authorized to make the section 338(h)(10) election on line 6 on behalf of the common parent of the selling consolidated group or on behalf of the selling affiliate.





Signature of authorized person for the common parent or selling affiliate Date Title

S Corporation Shareholder(s) Signature(s) (Section 338(h)(10) Election)

Under penalties of perjury, I state and declare that I am a shareholder of the S corporation target or that I am authorized to make the section 338(h)(10) election on line 6 on behalf of that shareholder. If more than one shareholder, attach a schedule with other signatures.





Signature of S corporation shareholder Date Title

Target #	Section A-1 - Purchasing Corporation	Section A-2 - Common Parent	Section B - Target Corporation	Section C - N/A	Section D - General Information	Section E - Elections Under 338	PURCHASING CORPORATION(S) SIGNATURE(S)
Target 1	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Touchcorp Limited 34 Bermudiana Road Hamilton HM 11, Bermuda		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
						7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	
	1b 87-2875280	2b 80-0429876	3b N/A		5b		
	1c December 31	2c December 31	3c June 30		(i) 100%	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1d Delaware	2d Delaware	3d Bermuda		(ii) 100%		
						9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X SIGNATURE OF AUTHORIZED PERSON FOR PURCHASING CORPORATION DATE TITLE
Target 2	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Clearpay Finance Limited 101 New Cavendish St London, UK W1W 6XH		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
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	1b 87-2875280	2b 80-0429876	3b N/A		5b		
	1c December 31	2c December 31	3c June 30		(i) 100%	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1d Delaware	2d Delaware	3d United Kingdom		(ii) 100%		
						9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X SIGNATURE OF AUTHORIZED PERSON FOR PURCHASING CORPORATION DATE TITLE

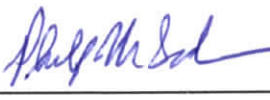
Target #	Section A-1 - Purchasing Corporation	Section A-2 - Common Parent	Section B - Target Corporation	Section C N/A	Section D - General Information	Section E - Elections Under 338	PURCHASING CORPORATION(S) SIGNATURE(S)
Target 3	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Clearpay (International) Finance Holding 101 New Cavendish St London, UK W1W 6XH		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
						7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	X
	1b 87-2875280	2b 80-0429876	3b N/A		5b	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1c December 31	2c December 31	3c December 31		(i) 100%		
	1d Delaware	2d Delaware	3d United Kingdom		(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X
Target 4	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Touch Holdings Pty Ltd Queen & Collins Tower Level 8 376 – 390 Collins Street Melbourne, Vic 3000		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
						7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	X
	1b 87-2875280	2b 80-0429876	3b N/A		5b	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1c December 31	2c December 31	3c June 30		(i) 100%		
	1d Delaware	2d Delaware	3d Australia		(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X

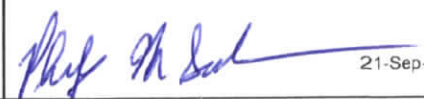
Target#	Section A-1 - Purchasing Corporation	Section A-2 - Common Parent	Section B - Target Corporation	Section C N/A	Section D - General Information	Section E - Elections Under 338	PURCHASING CORPORATION(S) SIGNATURE(S)
Target 5	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Touch Australia Pty Ltd Queen & Collins Tower Level 8 376 - 390 Collins Street Melbourne, Vic 3000		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
						7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	X
	1b 87-2875280	2b 80-0429876	3b N/A		5b	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1c December 31	2c December 31	3c June 30		(i) 100%		
	1d Delaware	2d Delaware	3d Australia		(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X
Target 6	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Afterpay Corporate Services Pty Ltd Queen & Collins Tower Level 8 376 - 390 Collins Street Melbourne, Vic 3000		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
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	1b 87-2875280	2b 80-0429876	3b N/A		5b	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
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	1d Delaware	2d Delaware	3d Australia		(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X

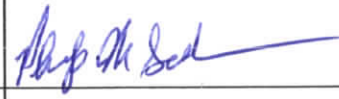
Target #	Section A-1 - Purchasing Corporation	Section A-2 - Common Parent	Section B - Target Corporation	Section C N/A	Section D - General Information	Section E - Elections Under 338	PURCHASING CORPORATION(S) SIGNATURE(S)
Target 7	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Touch Networks Pty Ltd Queen & Collins Tower Level 8 376 - 390 Collins Street Melbourne, Vic 3000		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
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	1c December 31	2c December 31	3c June 30		(i) 100%		
	1d Delaware	2d Delaware	3d Australia		(ii) 100%		
						9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X SIGNATURE OF AUTHORIZED PERSON FOR PURCHASING CORPORATION DATE TITLE
Target 8	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Afterpay China Holdings Pty Ltd Queen & Collins Tower Level 8 376 - 390 Collins Street Melbourne, Vic 3000		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
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	1b 87-2875280	2b 80-0429876	3b N/A		5b	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1c December 31	2c December 31	3c June 30		(i) 100%		
	1d Delaware	2d Delaware	3d Australia		(ii) 100%		
						9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X SIGNATURE OF AUTHORIZED PERSON FOR PURCHASING CORPORATION DATE TITLE

Target #	Section A-1 - Purchasing Corporation	Section A-2 - Common Parent	Section B - Target Corporation	Section C - N/A	Section D - General Information	Section E - Elections Under 338	PURCHASING CORPORATION(S) SIGNATURE(S)
Target 9	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Afterpay Information Technology Service (Shanghai) Co., Ltd. Unit 1506B, Jin Mao Tower Office Building No. 88, Century Shanghai, People's Republic of China		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
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						9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	
						X	
Target 10	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Afterpay NZ Limited TMF Group, Level 11 41 Shortland Street Auckland Central 1010		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
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						X	

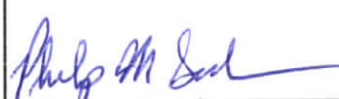
Target #	Section A-1 - Purchasing Corporation	Section A-2 - Common Parent	Section B - Target Corporation	Section C N/A	Section D - General Information	Section E - Elections Under 338	PURCHASING CORPORATION(S) SIGNATURE(S)
Target 11	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Afterpay NZ Warehouse Trust TMF Group, Level 11 41 Shortland Street Auckland Central 1010		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax SIGNATURE OF AUTHORIZED PERSON DATE TITLE
						7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	
	1b 87-2875280	2b 80-0429876	3b N/A		5b		
	1c December 31	2c December 31	3c June 30		(i) 100%	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1d Delaware	2d Delaware	3d New Zealand		(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	
Target 12	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Afterpay Warehouse Trust Queen & Collins Tower Level 8 376 – 390 Collins Street Melbourne, Vic 3000		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax SIGNATURE OF AUTHORIZED PERSON DATE TITLE
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Target #	Section A-1 - Purchasing Corporation	Section A-2 - Common Parent	Section B - Target Corporation	Section C N/A	Section D - General Information	Section E - Elections Under 338	PURCHASING CORPORATION(S) SIGNATURE(S)
Target 13	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Afterpay Asia Pte. Ltd. 80 Robinson Road #20-00 Singapore 068898		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
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	1c December 31	2c December 31	3c December 31		(i) 100%		
	1d Delaware	2d Delaware	3d Singapore		(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X
Target 14	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Setelah Bayar Pte. Ltd. 80 Robinson Road #20-00 Singapore 068898		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
						7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	X
	1b 87-2875280	2b 80-0429876	3b N/A		5b	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1c December 31	2c December 31	3c December 31		(i) 100%		
	1d Delaware	2d Delaware	3d Singapore		(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X

Target #	Section A-1 - Purchasing Corporation	Section A-2 - Common Parent	Section B - Target Corporation	Section C - N/A	Section D - General Information	Section E - Elections Under 338	PURCHASING CORPORATION(S) SIGNATURE(S)
Target 15	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a PT Empat Kali Indonesia Level 38, Tower A Kota Kasablanka Jl. Casablanca Raya Kav. 88, RT.14/RW.5 Menteng Dalam, Kec. Tebet, Jakarta, Daerah Khusus Ibukota Jakarta 12870, Indonesia		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax SIGNATURE OF AUTHORIZED PERSON FOR PURCHASING CORPORATION DATE TITLE
	1b 87-2875280	2b 80-0429876	3b N/A	5b	7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	X	
	1c December 31	2c December 31	3c December 31	(i) 85%	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION		
	1d Delaware	2d Delaware	3d Indonesia	(ii) 85%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X	
Target 16	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Afterpay Canada Limited Suite 2600, Three Bentall Centre 595 Burrard Street, PO Box 49314 Vancouver BC V7X 1L3		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax SIGNATURE OF AUTHORIZED PERSON FOR PURCHASING CORPORATION DATE TITLE
	1b 87-2875280	2b 80-0429876	3b N/A	5b	7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	X	
	1c December 31	2c December 31	3c June 30	(i) 100%	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION		
	1d Delaware	2d Delaware	3d Canada	(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X	

Target#	Section A-1 - Purchasing Corporation	Section A-2 - Common Parent	Section B - Target Corporation	Section C N/A	Section D - General Information	Section E - Elections Under 338	PURCHASING CORPORATION(S) SIGNATURE(S)
Target 17	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Clearpay (International) Limited 101 New Cavendish St London, UK W1W 6XH		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax SIGNATURE OF AUTHORIZED PERSON DATE TITLE FOR PURCHASING CORPORATION
						7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	
	1b 87-2875280	2b 80-0429876	3b N/A		5b	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1c December 31	2c December 31	3c June 30		(i) 100%		
	1d Delaware	2d Delaware	3d United Kingdom		(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	
Target 18	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Clearpay (Europe) Limited 101 New Cavendish St London, UK W1W 6XH		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax SIGNATURE OF AUTHORIZED PERSON DATE TITLE FOR PURCHASING CORPORATION
						7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	
	1b 87-2875280	2b 80-0429876	3b N/A		5b	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1c December 31	2c December 31	3c June 30		(i) 100%		
	1d Delaware	2d Delaware	3d United Kingdom		(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	

Target #	Section A-1 - Purchasing Corporation	Section A-2 - Common Parent	Section B - Target Corporation	Section C N/A	Section D - General Information	Section E - Elections Under 338	PURCHASING CORPORATION(S) SIGNATURE(S)
Target 19	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Clearpay S.A.U. Paseo de la Castellana 95 (Torre Europa) 28046 Madrid, Spain		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
						7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	X
	1b 87-2875280	2b 80-0429876	3b N/A		5b	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1c December 31	2c December 31	3c December 31		(i) 100%		
	1d Delaware	2d Delaware	3d Spain		(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X
Target 20	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Clearpay Technology, S.L.U Paseo de la Castellana 95 (Torre Europa) 28046 Madrid, Spain		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
						7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	X
	1b 87-2875280	2b 80-0429876	3b N/A		5b	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1c December 31	2c December 31	3c December 31		(i) 100%		
	1d Delaware	2d Delaware	3d Spain		(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X

Target #	Section A-1 - Purchasing Corporation	Section A-2 - Common Parent	Section B - Target Corporation	Section C - N/A	Section D - General Information	Section E - Elections Under 338	PURCHASING CORPORATION(S) SIGNATURE(S)
Target 21	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Clearpay Receivables Warehouse 2020-1 1 Bartholomew Lane London EC2N 2AZ		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
						7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	X
	1b 87-2875280	2b 80-0429876	3b N/A		5b	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1c December 31	2c December 31	3c December 31		(i) 100%		
	1d Delaware	2d Delaware	3d United Kingdom		(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X
Target 22	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Clearpay Receivables Warehouse 2020-2 1 Bartholomew Lane London EC2N 2AZ		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
						7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	X
	1b 87-2875280	2b 80-0429876	3b N/A		5b	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION	
	1c December 31	2c December 31	3c December 31		(i) 100%		
	1d Delaware	2d Delaware	3d United Kingdom		(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X

Target #	Section A-1 - Purchasing Corporation	Section A-2 - Common Parent	Section B - Target Corporation	Section C N/A	Section D - General Information	Section E - Elections Under 338	PURCHASING CORPORATION(S) SIGNATURE(S)
Target 23	1a Lanai (US) 2, LLC 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	2a Block, Inc. 1455 Market St. Suite 600, MSC 410 San Francisco, California 94103	3a Clearpay (UK) Finance Services Limited 101 New Cavendish St London, UK W1W 6XH		5a 31-Jan-22	6 CHECK HERE TO MAKE A SECTION 338(h)(10) ELECTION FOR THE TARGET CORPORATION LISTED IN SECTION B	UNDER PENALTY OF PERJURY, I STATE AND DECLARE THAT I AM AUTHORIZED TO MAKE THE ELECTION(S) ON LINES 6, 7, 8, AND 9 ON BEHALF OF THE PURCHASING CORPORATION(S).  21-Sep-22 Head of Tax
	1b 87-2875280	2b 80-0429876	3b N/A	5b	7 CHECK HERE TO MAKE A SECTION 338 ELECTION (OTHER THAN A SECTION 338(h)(10) ELECTION) FOR THE TARGET CORPORATION LISTED IN SECTION B	X	
	1c December 31	2c December 31	3c December 31	(i) 100%	8 IF THE BOX ON LINE 7 IS CHECKED FOR THE TARGET CORPORATION LISTED IN SECTION B, CHECK HERE TO MAKE A GAIN RECOGNITION ELECTION FOR THAT CORPORATION		
	1d Delaware	2d Delaware	3d United Kingdom	(ii) 100%	9 CHECK HERE IF THIS FORM IS FILED TO MAKE A SECTION 338 ELECTION FOR ANY TARGET CORPORATION IN ADDITION TO THE ONE LISTED IN SECTION B	X	

FORM 8023 SCHEDULES FOR FOREIGN TARGET ACQUISITION

Date of Acquisition	Name of Purchaser	Percentage Purchased by Purchaser	Name of Target Corporation
January 31, 2022	Lanai (US) 2, LLC	100%	Afterpay Limited

Prior to Lanai (US) 2, LLC's acquisition of 100% of the stock of Afterpay Limited on January 31, 2022, Afterpay Limited was a publicly traded corporation on the Australian Securities Exchange ("ASX"). Identified U.S. persons that disposed of Afterpay Limited stock in connection with the transaction were notified that Lanai (US) 2, LLC made an election under Section 338 of the Internal Revenue Code of 1986, as amended (the "Code") in accordance with U.S. Treasury Regulation Section 1.338-2(e)(4). It is not practical to list each identified U.S. person on this schedule because of the significant number of U.S. persons identified, as well as the inability to obtain social security numbers or employer identification numbers for such U.S. persons.

Instructions for Form 8023

(Rev. November 2021)



Department of the Treasury
Internal Revenue Service

(Use with the November 2016 revision of Form 8023)

Elections Under Section 338 for Corporations Making Qualified Stock Purchases

Section references are to the Internal Revenue Code unless otherwise noted.

Future Developments

For the latest information about developments related to Form 8023 and its instructions, such as legislation enacted after they were published, go to [IRS.gov/Form8023](https://www.irs.gov/Form8023).

General Instructions

Purpose of Form

Use Form 8023 to make elections under section 338 for a corporation (the “target” corporation) if the purchasing corporation has made a qualified stock purchase (QSP) of the target corporation.

If a section 338(g) election is made for the target, the target is treated for purposes of subtitle A of the Code as having sold all of its assets on the acquisition date and then as having purchased the assets as a new corporation (“new” target) on the day after the acquisition date. For periods on or before the acquisition date, the target is sometimes referred to as the “old” target. In addition, the target must recognize gain or loss on the deemed sale of its assets.

If a section 338(h)(10) election is made for the target, the target is generally treated as making the deemed sale and liquidating. The treatment of the target shareholders is generally consistent with the sale and liquidation treatment. A section 338(h)(10) election cannot be made for a target corporation unless it is acquired from a selling consolidated group, a selling affiliate (as defined in Regulations section 1.338(h)(10)-1(b)(3)), or an S corporation shareholder (or shareholders).

Who Must File

Generally, a purchasing corporation must file Form 8023 for the target. If a section 338(h)(10) election is made for a target, Form 8023 must be filed jointly by the purchasing corporation and the common parent of the selling consolidated group (or the selling affiliate or an S corporation shareholder(s)). If the target is an S corporation, a section 338(h)(10) election must be made by all of the shareholders of the target, including shareholders who do not sell target stock in the QSP.

When and Where To File

File Form 8023 by the 15th day of the 9th month after the acquisition date to make a section 338 election for the target corporation. In the case of a foreign purchasing corporation, see [Special Instructions for Foreign Purchasing Corporation](#), later. File Form 8023 with the Internal Revenue Service, Submission Processing Center, P.O. Box 9941, Mail Stop 4916, Ogden, UT 84409.

Elections for Multiple Targets

One Form 8023 (rather than multiple forms) may be used for targets that meet the following three requirements.

1. Each has the same acquisition date.
2. Each was a member of the same affiliated group (defined below) immediately before the acquisition date.
3. Each is a member of the same affiliated group immediately after the acquisition date.

All of the information that would be required for the additional targets if a separate Form 8023 were filed must be provided for that target in schedules attached to the form. If a form is used to make an election under section 338 for more than one target, check the box on line 9. In an attached schedule, provide the information requested in Sections A-1, A-2, B, C, and D for each target corporation other than the one shown in Section B of the form. In the schedule, also state which elections are made for each target (that is information corresponding to lines 6, 7, 8, and 9 of Section E). Include the appropriate signature or signature attachment for each target. See [Signature\(s\)](#), later.

One special instruction applies to section 338 elections for lower-tiered targets, whether one or more Forms 8023 are filed to make the elections. If, for example, P purchases target A, target A owns target B, and P makes a section 338 election for target A, this results in a deemed QSP of target B. To make an election for target B, complete and sign Form 8023 as if the purchasing corporation(s) of the directly purchased target were the purchasing corporation(s) of the lower-tiered target.

Definitions

Qualified stock purchase (QSP). A QSP is the purchase of at least 80% of the total voting power and value of the stock of a corporation by another corporation during a 12-month acquisition period. Preferred stock (as described in section 1504(a)(4)) is not included in computing voting power or value. See section 338(h)(3) for the definition of “purchase.”

Acquisition date. This is the first day on which a QSP has occurred.

12-month acquisition period. This is generally the 12-month period beginning with the first acquisition by purchase of stock included in the QSP. See section 338(h)(1) for additional rules. Also see Regulations section 1.338-8(j)(2).

Affiliated group. This is an affiliated group as defined in section 1504(a), determined without regard to the exceptions contained in section 1504(b).

Specific Instructions

Employer identification number. An employer identification number (EIN) must be included for each corporation identified in Section A-1, A-2, B, or C or on attached schedules. An EIN is not required if the corporation does not have, and is not otherwise required to have, an EIN.

Tax year ending. The tax year ending date of any corporation is determined without regard to any QSP.

Country of incorporation. When identifying the country of incorporation, include political subdivisions, if any.

Section A-1—Purchasing Corporation

If more than one member of an affiliated group purchases stock of the target corporation listed in Section B (or identified on an attached schedule), enter in Section A-1 the name of the corporation that acquired the largest percentage (by value) of the target's stock in the QSP. If two or more affiliates acquired equal amounts of target stock, insert the name of any one of them in Section A-1. On an attached schedule, provide the information requested on this form for each purchasing corporation other than the one listed in Section A-1. Also provide

a schedule that lists which target stock was acquired by each purchasing corporation.

Section A-2—Common Parent of the Purchasing Corporation

If the purchasing corporation is a member of a consolidated group, complete Section A-2.

Section C—Common Parent of Selling Consolidated Group, Selling Affiliate, S Corporation Shareholder, or U.S. Shareholder

If Form 8023 is filed to make a section 338(h)(10) election for a target that is an S corporation, the information requested in Section C must be provided for each shareholder of the S corporation target. Attach a schedule with respect to the other shareholders. If Form 8023 is filed to make a section 338 election for a target that is or was a controlled foreign corporation (CFC), enter in Section C the name of the U.S. shareholder that owned the largest percentage (by value) of the target's stock immediately before the acquisition date. If two or more U.S. shareholders acquired equal amounts of target stock, enter the name of any one of them in Section C. On an attached schedule, provide the information requested on this form for each U.S. shareholder other than the one listed in Section C. If a U.S. shareholder is a member of a consolidated group other than the common parent, also provide the name and EIN for the common parent of the U.S. shareholder's group.

Line 4b. Identifying number. Enter the social security number (SSN) for an individual. Enter the EIN for a corporation.

Section E—Elections Under Section 338

Line 8. Gain recognition election. If a gain recognition election is made for a target, it applies to the purchasing corporation and all members of its affiliated group that hold nonrecently purchased target stock (that is, stock in the target acquired prior to the 12-month acquisition period). See Regulations section 1.338-5(d). If a section 338(h)(10) election is made for a target, a gain recognition election is deemed made by each purchasing group member.

If a gain recognition election is actually made (not deemed made) for a target corporation, attach a schedule providing the target corporation's name and the name, address, and EIN of each

purchasing group member holding nonrecently purchased stock. The schedule must also contain the following declaration (or a substantially similar declaration): "EACH CORPORATION HOLDING STOCK SUBJECT TO THIS GAIN RECOGNITION ELECTION AGREES TO REPORT ANY GAIN UNDER THE GAIN RECOGNITION ELECTION IN ITS FEDERAL INCOME TAX RETURN (INCLUDING AN AMENDED RETURN, IF NECESSARY) FOR THE TAX YEAR IN WHICH THE ACQUISITION DATE OF THE TARGET OCCURS."

The schedule must be signed on behalf of each purchasing group member holding nonrecently purchased target stock by a person who states under penalties of perjury that he or she is authorized to act on behalf of the corporation.

A gain recognition election for the target also applies to any target affiliate that has the same acquisition date as the target and for which a section 338 election is made. Attach a schedule with the information requested above for each such target affiliate.

Signature(s)

If the common parent of a consolidated group is the agent of the purchasing corporation under Regulations section 1.1502-77, the person authorized to sign the statement of section 338 election is the person authorized to act on behalf of that common parent.

If a QSP of a target corporation is made by two or more corporations that are members of the same affiliated (but not consolidated) group, Form 8023 must be signed by a person authorized to sign on behalf of each corporation.

If a section 338(h)(10) election is made for an S corporation, Form 8023 must be signed by each S corporation shareholder regardless of whether the shareholder sells his interest in target stock in the QSP.

If multiple signatures are required, the signatures must be provided on a "SIGNATURE ATTACHMENT" to the form under the appropriate "declaration under penalties of perjury" (this is the statement that appears on Form 8023 immediately above the relevant signature line). Write "See attached" in the signature area of the Form 8023.

Special Instructions for Foreign Purchasing Corporations

Unless otherwise specifically noted, the general rules and requirements in these instructions apply to foreign purchasing corporations.

Who must file. Generally, the purchasing corporation must file Form 8023. However, the U.S. shareholders of controlled foreign purchasing corporations described in Regulations section 1.338-2(e)(3) may make the section 338 election for the purchasing corporation. The shareholders may make this election only if the purchasing corporation is not required under Regulations section 1.6012-2(g) to file a U.S. income tax return for the tax year that includes the acquisition date.

Each U.S. shareholder must also attach Form 8023 to the Form 5471, Information Return of U.S. Persons With Respect to Certain Foreign Corporations, filed for the purchasing corporation for the tax year that includes the acquisition date.

To make this election, complete Form 8023 and attach a statement to the form showing the name, address, identifying number, country in which organized, and stock interest of each U.S. shareholder. The statement must be signed by each U.S. shareholder. When signing the statement, each U.S. shareholder must state under penalties of perjury that the stock interest for that shareholder specified in the statement is correct. Write "See attached" in the signature area of Form 8023.

As an alternative to a jointly signed statement, the shareholder signatures may be shown on separate statements attached to Form 8023. If a U.S. shareholder is not an individual or does not have delegated authority to sign the statement, the person signing must state under penalties of perjury that he or she is authorized to sign the statement for the U.S. shareholder. File Form 8023 for the foreign purchasing corporation's tax year that includes the acquisition date.

Form 8883. Each U.S. shareholder must also file Form 8883, Asset Allocation Statement Under Section 338, with Form 5471. See the Instructions for Form 8883.

When to file. Special rules may apply to foreign purchasing corporations. The time during which a qualifying foreign purchasing corporation may make a section 338 election for a qualifying foreign target is described in Regulations section 1.338-2(e)(1).

Special Instructions for Foreign Targets

Unless otherwise specifically noted, the general rules and requirements in these instructions apply to foreign targets.

A section 338 election will not be valid for a target that is a CFC, a passive foreign investment company, or a foreign personal holding company unless affected U.S. persons who own stock in these

targets are notified in writing, as set forth in Regulations section 1.338-2(e)(4).

Form 8883. Each U.S. shareholder must also file Form 8883 with Form 5471. See the Instructions for Form 8883.

Attachments. Attach a schedule listing the date of each purchase of foreign target stock, each purchaser's name, the percentage purchased by each purchaser, and the name and place of incorporation of any selling entities. If affected U.S. persons owning stock in the target are notified, attach a schedule containing the name and EIN or SSN of each U.S. person.

Paperwork Reduction Act Notice. We ask for the information on this form to carry out the Internal Revenue laws of the

United States. You are required to give us the information. We need it to ensure that you are complying with these laws and to allow us to figure and collect the right amount of tax.

You are not required to provide the information requested on a form that is subject to the Paperwork Reduction Act unless the form displays a valid OMB control number. Books or records relating to a form or its instructions must be retained as long as their contents may become material in the administration of any Internal Revenue law. Generally, tax returns and return information are confidential, as required by section 6103.

The time needed to complete and file this form will vary depending on individual circumstances. The estimated burden for

business taxpayers filing this form is approved under OMB control number 1545-0123 and is included in the estimates shown in the instructions for their business income tax return.

If you have comments concerning the accuracy of these time estimates or suggestions for making this form simpler, we would be happy to hear from you. You can send us comments from [IRS.gov/FormComments](https://www.irs.gov/FormComments). Or write to the Internal Revenue Service, Tax Forms and Publications Division, 1111 Constitution Ave. NW, IR-6526, Washington, DC 20224. **Do not** send Form 8023 to this address. Instead, see [When and Where To File](#), earlier.
